

Lifting US sanctions on Iran could crush China's 'teapot' oil refineries



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A 3D-printed miniature model depicting U.S. President Donald Trump, Iran flag and word "Sanctions" in this illustration taken, April 17, 2025. REUTERS/Dado Ruvic/Illustration [Purchase Licensing Rights. opens new tab](#)

- Summary
- Chinese independent refineries accounted for 77% of Iran 2024 exports
- Iranian imports are discounted, offering profits uplift
- Removal of sanctions will undermine teapots' business model

LONDON, May 19 - The possible lifting of U.S. sanctions on Iran's oil exports could deal a fatal blow to independent Chinese refineries that have thrived by processing Tehran's discounted crude, while also putting further downward pressure on oil prices.

President Donald Trump has taken a dual-track strategy with Iran, applying a ["maximum pressure" campaign](#) of tightening economic sanctions, while simultaneously engaging in direct high-level talks over Tehran's nuclear programme. Last week, Trump indicated the sides were [getting very close to a deal](#).

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Of course, nuclear talks between Iran and Western powers have always been extremely complex – full of stops and starts – and Trump's recent statements surrounding a potential deal include much hedging.

But if there is a breakthrough deal, it would almost certainly include a repeal of many U.S. economic restrictions on Iran's oil industry, which would have a profound impact on global energy markets.

Strict U.S. sanctions on Iran's oil industry have been in place since Trump [pulled out of a U.N-backed nuclear deal](#) in 2018. While sanctions have dented Tehran's exports – the country's major source of revenue – they have never succeeded in reducing exports to zero, as Trump vowed seven years ago.

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Iranian exports reached 2.8 million barrels per day (bpd) in May 2018 and hit a low of just 150,000 bpd in May 2020, before steadily recovering to an average of around 1.65 million bpd so far in 2025, according to analytics firm Kpler.

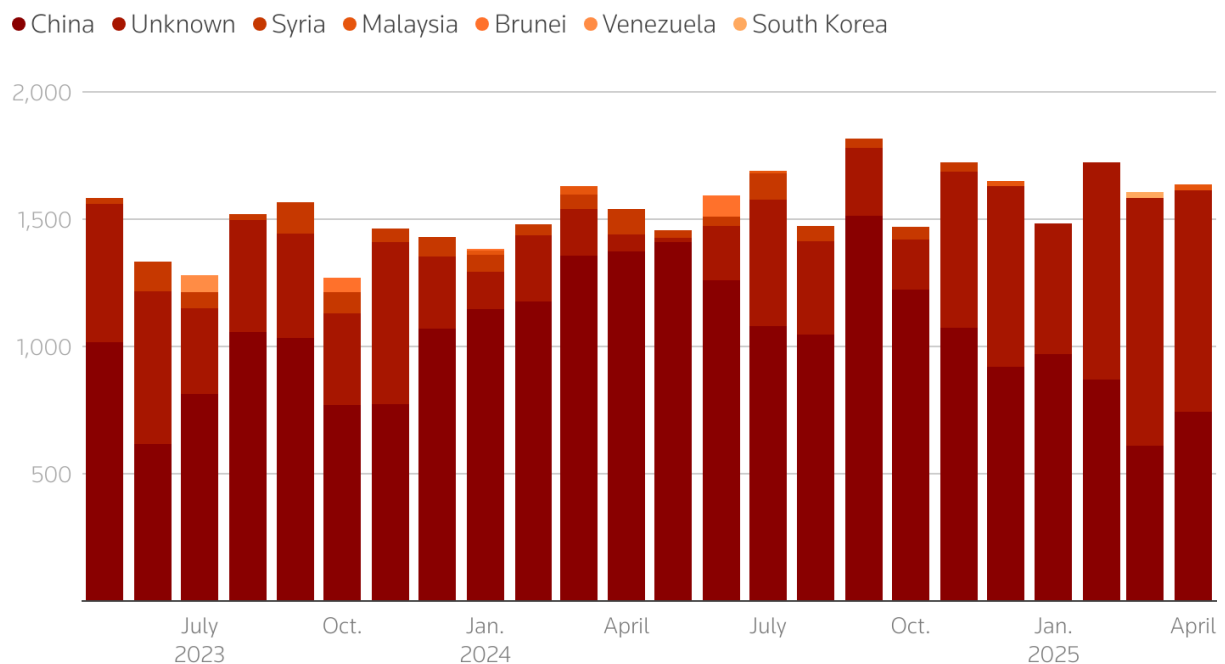
Chinese privately owned refineries, commonly known as teapots, have been the main buyers of Iranian crude in recent years, attracted by the heavy discounts. Concentrated in the eastern Shandong province, these small independent refineries have capacity of around 4 million bpd, or roughly one-fifth of China's total refining capacity.

Large volumes of sanctioned crude have made their way into China in recent years through a [complex web of shell companies](#) and a so-called "dark fleet" of tankers that transfer oil between different vessels to obscure the origin.

The precise total volumes involved in this trade are unclear as official Chinese customs data suggests the country does not import any Iranian oil. However, Kpler, using ship tracking and satellite technology, estimates that China imported 77% of Iran's 1.6 million bpd of exports last year.

So far this year, China's share averaged around 50%, probably as a result of new U.S. sanctions targeting several [Shandong teapot refineries](#) and port operators, a theory supported by the fact that the amount of Iranian crude sitting on ships at sea, instead of being discharged, has reached the highest level since November 2023. If sanctions are loosened, this oil would be sold swiftly.

Iran's oil exports



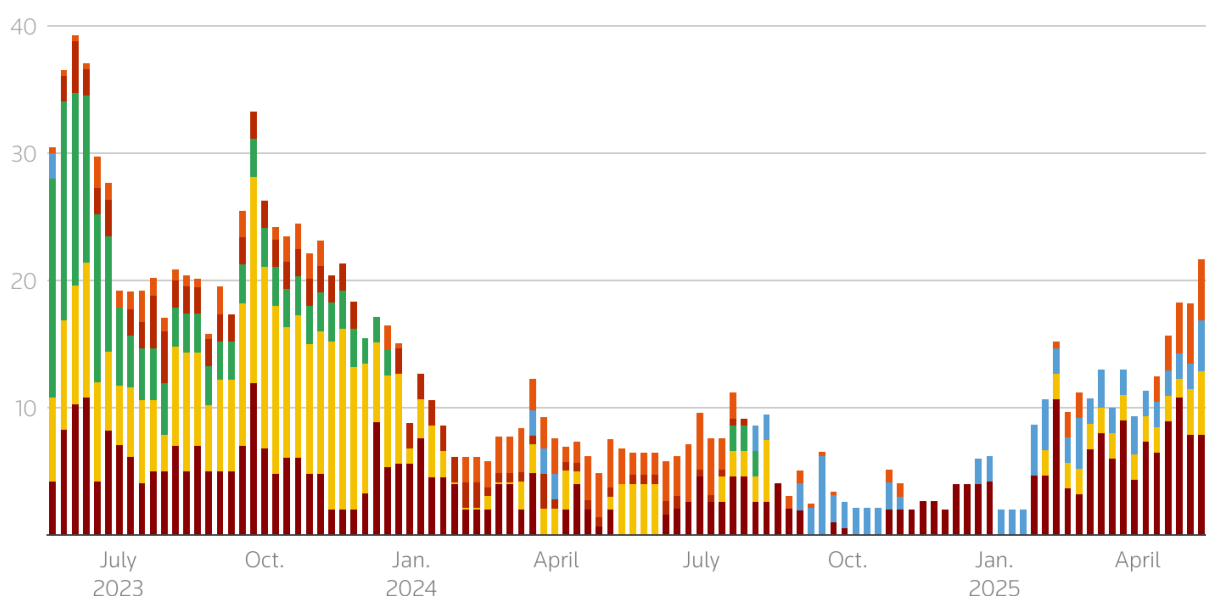
Note: Includes crude and condensate oil, in Thousands of barrels per day

By Ron Bousso • Source: Kpler

Iran's crude and condensate exports

Iranian oil floating storage

● Singapore Strait ● Yellow Sea ● Mideast Gulf ● Gulf of Oman ● South China Sea ● Other



Note: Oil stored in tankers for at least 20 days in millions of barrels

By Ron Bousso • Source: Kpler

Iranian oil floating storage

TEMPEST IN A TEAPOT

Iranian production could also likely be ramped up quickly.

Its oil sector has proven surprisingly resilient in the face of mounting Western sanctions, with crude oil production averaging 3.3 million bpd in 2024, according to OPEC data. Production could be ramped up by 500,000 bpd within six months of lifting sanctions.

Not only would the rapid return of Iranian crude to global markets likely put further downward pressure on oil prices that have fallen from a high of \$82 a barrel in January to around \$65 today, but it would also deal a heavy blow to China's teapot refineries.

These independent outfits typically have very slim profit margins because most run at utilization rates of [around 50% or less](#) due to overcapacity in the sector and restrictions on exporting fuels overseas.

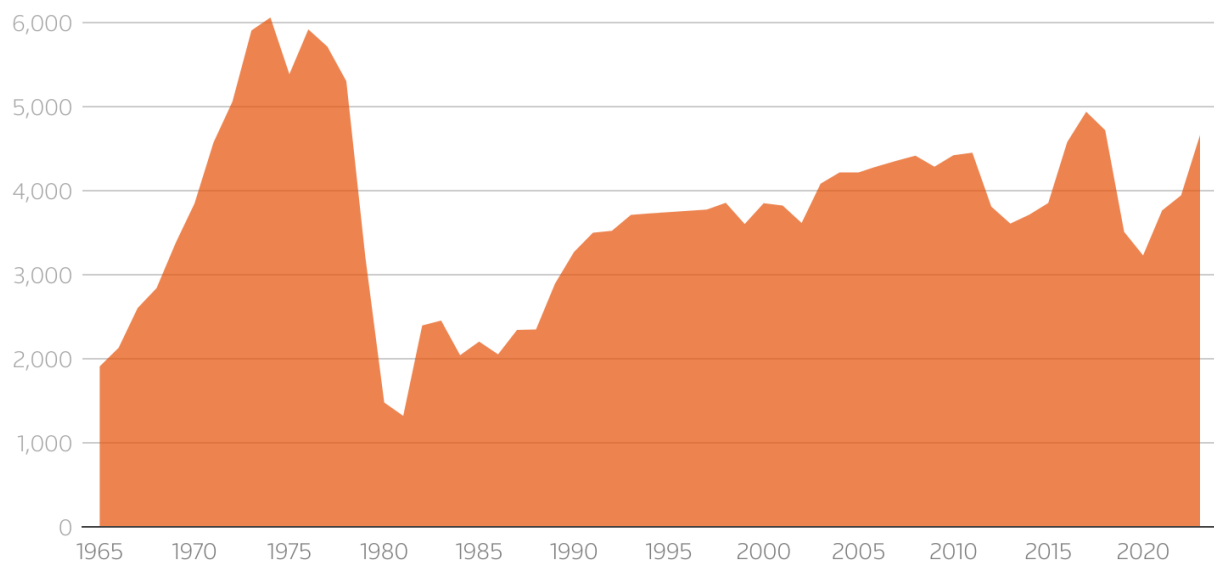
Plants have faced fierce competition in recent years, and those that have survived have done so largely because they have been able to generate lucrative profits by processing cheap Iranian as well as Venezuelan feedstock.

The removal of U.S. sanctions on Iranian crude could therefore undermine their business models, meaning many plants would likely have to sharply pare back operations or, in some cases, shut down entirely.

A drop in output from Chinese teapots, in turn, could provide a boost to large state-owned Chinese refineries that will pick up the slack in the domestic market. More broadly, a decline in global refining capacity should boost the sector at a time of increasing uncertainty over demand for fuels such as gasoline and diesel due to the ongoing trade war and energy transition.

The return of Iran into global oil markets would create headaches for many – not least Saudi Arabia, which is in the middle of [a price war](#) – but the biggest losers would likely be the independent Chinese refiners. And the biggest beneficiary, outside of Iran itself, would be the refining industry – whether or not that's what Trump has in mind.

Iran's crude oil production



Note: Includes crude and condensate oil, in thousands of barrels per day

By Ron Bousso • Source: Energy Institute 2024 Statistical Review of World Energy

Iran's crude oil production